

Who Funded the Public Pension Promise?

A Bounded Evidence Draft on Portugal’s CGA and Transferred Pension Liabilities

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Abstract

This draft asks how Portugal’s public pension obligations and financing flows should be described when responsibilities move across institutional boundaries. The current evidence supports a limited set of legal and accounting facts about CGA financing and the 2011–2012 banking-sector pension transfers. It does not yet support definitive claims about employee remittance loss, quantified employer underpayment, a post-2006 reallocation magnitude, a combined pension-balance sign, a subsidy for banks, or a full lifecycle public-finance gain or loss. The paper is therefore written as an evidence-controlled reconstruction: it reports registered values, separates accounting standards from economic incidence, and leaves unresolved claims outside the article boundary.

1 Introduction

[Interpretation] Public debates about pension finance often compress several questions into one conclusion: who paid, which institution carried the burden, and whether a reported balance reflects an economic gain or loss. This paper separates those questions. It studies the movement of pension obligations, assets, and financing flows across CGA, Social Security, the State, and private banking institutions. The current draft remains deliberately bounded. It treats the motivating suspicions as hypotheses to be tested, not as findings already established by the available record.

[Unresolved evidence] The manuscript gate is defined by `evidence/article_evidence.csv`, `evidence/article_evidence_claim_boundaries.csv`, `evidence/manuscript_section_boundaries.csv`, and `paper/falsification_report.md`. A material claim remains outside the draft unless it has source IDs, raw values, a transformation, a processed dataset, an output artifact, and a section-level boundary. The present evidence does not establish that CGA financing practices or the 2011 banking-sector pension transfer harmed Social Security on a lifecycle basis.

2 Evidence and Validation Method

[Interpretation] The paper uses a source-to-claim design. A value can enter the manuscript only after the repository records its source, extraction status, transformation, processed dataset, and manuscript-facing artifact. This makes the current draft narrower than a narrative review, but it keeps accounting descriptions separate from legal conclusions and economic incidence claims.

[Unresolved evidence] The method is also falsification-oriented. Each material claim must have a condition under which it would be revised, blocked, or removed. Missing inputs are therefore reported as blockers rather than filled with estimates. This rule is especially important for remittance, employer-contribution, post-2006 reallocation, bank-benefit, and lifecycle classifications, where the available evidence does not yet identify all required cash-flow or perimeter inputs.

3 Related Work and Contribution

[Interpretation] The nearest recorded studies examine adjacent parts of the question rather than the full financing perimeter. Campos and Pereira study the 2006 CGA reform through microsimulation of retirement timing, initial pensions, and expenditure. Pereira and Rodrigues, the revised projection work, and Garcia and da Silva place Portuguese pensions in long-run expenditure or macroeconomic projection settings. Abreu and David are closer to the institutional-accounting problem because they stress dispersed CGA financial information and consolidation issues.

[Interpretation] The contribution of this draft is therefore procedural as much as substantive. It organizes legal mechanisms, account values, perimeter definitions, and unresolved tests into a reproducible source-to-claim package. The recorded literature search does not prove novelty. It only supports the bounded statement that the nearest mapped work does not yet combine CGA closure mechanics, RGSS reallocation questions, contribution-remittance tests, State financing, bank pension-fund transfers, actuarial stocks, and ESA accounting bridges in one flow-of-funds reconstruction.

4 Institutional Architecture

[Legal fact] The repository records the 2011 banking transfer as a legal mechanism through which specified pension responsibilities moved from private credit institutions into a public financing channel. The legal registry covers the transfer perimeter, financing channel, valuation rate, asset-composition constraint, transfer schedule, and extinguishment rule for the covered responsibilities. These legal features define the perimeter of the current banking-transfer analysis.

[Unresolved evidence] The legal mechanism does not by itself quantify bank-level net gains or losses. That assessment requires bank-level liability values, surrendered asset values, retained responsibilities, and cash-flow schedules that remain absent from the registered evidence. The manuscript therefore distinguishes legal transfer mechanics from economic incidence.

5 Definitions and Accounting Perimeters

[Accounting fact] The same transaction can have different accounting presentations under different standards. The article evidence records that the 2011 banking pension-fund transfer reduced the ESA-95 headline deficit by about 3.5 percent of GDP. The EC source classifies the same operation under ESA-2010 as a financial transaction with no direct deficit impact.

[Interpretation] This distinction is central to the paper’s design. A headline-deficit effect is an accounting-standard result, not by itself a welfare result, a bank subsidy, or an uncompensated Social Security cost. Those stronger classifications require a stock-flow bridge that includes assets, liabilities, financing costs, and pension payments over the relevant horizon.

6 Data and Historical Reconstruction

[Accounting fact] The current evidence base is strongest for a small set of extracted account values and legal classifications. Article-evidence rows map each supported number to a source ID, raw value, transformation, processed dataset, and output artifact. This structure is narrower than the motivating research question, but it makes clear which facts can be carried into the manuscript.

[**Unresolved evidence**] Several requested series remain blocked: CGA component ledgers, payroll and contribution revenue splits, public-worker RGSS flows, FEFSS annual flows, bank pension cash-flow schedules, bank asset composition, investment income, and combined-balance series. The draft therefore reports a partial reconstruction rather than a completed historical account.

7 CGA Financing

[**Accounting fact**] For 2011, the CGE source reports a CGA global balance of EUR 186.2 million, a PT pension-fund effect of EUR 476.7 million, and a CGA balance excluding that effect of EUR -290.6 million. The processed ledger checks this decomposition within one-decimal rounding.

[**Unresolved evidence**] This is not yet a full CGA financing reconstruction. The evidence gate blocks claims about historical employee remittance gaps, employer underpayment amounts, or State-transfer intent until detailed component ledgers and payroll/revenue splits are registered. At this stage, the CGA result is an extracted 2011 accounting decomposition, not a multi-decade financing diagnosis.

8 Contribution Remittance

[**Unresolved evidence**] Employee remittance claims remain unresolved. Apparent gaps could arise from timing artifacts, arrears corrections, base-definition differences, or perimeter effects. The required payroll withholding totals, CGA worker-quota receipts, timing adjustments, and arrears corrections are not yet available in registered form.

[**Unresolved evidence**] Employer contribution claims are also bounded. The repository tracks the distinction between legal rates and economic benchmark rates, but a quantified employer gap would require payroll bases and recorded employer-revenue splits. Without those inputs, the manuscript can identify the evidentiary test but cannot report a magnitude.

9 The 2006 Reform

[**Unresolved evidence**] The current evidence records the CGA closure mechanism, but not the annual public-worker new-entrant cohorts, contribution bases, or RGSS contribution paths required to quantify the post-2006 reallocation. The manuscript therefore cannot state a magnitude for the 2006 effect. Any future estimate must distinguish gross contribution flows from net effects after State financing and future pension rights.

10 Banking-Sector Pension Transfer

[**Accounting fact**] The CGE and EC sources record the aggregate 2011 banking pension-fund transfer at EUR 5,993.2 million, equal to about 3.5 percent of GDP in the ESA-95 bridge. The CGE source also records EUR 3,263.1 million as the 2011 part of the credit-institution pension-fund asset-title transfer booked as non-tax revenue.

[**Accounting fact**] For 2012, the official Social Security audit records EUR 516.0 million in banking substitute-regime pension expenditure and EUR 516.0 million in current-transfer financing. This reconciles the EC statement that transferred bank pensions added roughly EUR 0.5 billion of pension expenditure in 2012.

[Legal fact] The BPN 2012 case is separate from the main 2011 DL127 transfer perimeter. DL88/2012 required EUR 96.768004 million to be transferred from the BPN pension fund to CGA; the processed ledger reconciles this legal amount to the rounded official account value.

[Interpretation] The 2011 asset receipt created a financing or liquidity resource for the State, while the 2012 pension expenditure records an observed obligation cost. The bounded debt-financing ledger separates these sides and does not classify the operation as a consolidated public-finance gain or loss.

11 Balance Reconstruction

[Unresolved evidence] The reported-versus-alternative combined pension-balance figure remains blocked. The current flow-of-funds matrix identifies consolidation boundaries and bridge components, but it does not yet contain the RGSS/previdential balance series, FEFSS annual flows, or complete CGA component flows required for a combined-balance sign claim. Reproducing the published combined-balance definition would not endorse it as the economically correct definition; it would only show whether the stated perimeter and adjustments are arithmetically reproducible from registered sources.

12 Counterfactual Financing

[Counterfactual result] No numerical counterfactual result is reported in this draft. The counterfactual regime table currently defines rules: funding substitution must preserve total cash financing, funded reserves must be treated as additional historical expenditure unless another source is explicitly reduced, and bank-transfer sensitivity must compare the full stream of assets, investment income, State financing, and pension expenditure.

[Actuarial assumption] The bank-liability present-value sensitivity grid records discount-rate scenarios from 2 percent to 6 percent, including the legal 4 percent reference. The values cannot be computed until pension cash-flow and demographic schedules are registered.

13 Implications for the 2026 Debate

[Interpretation] The current evidence supports a narrower claim than the motivating public debate often suggests. It shows that accounting perimeters and one-off transfers can materially affect reported balances, and that the 2011 banking transfer had different ESA-95 and ESA-2010 presentations. It does not yet show whether CGA financing or the bank transfer was economically adverse once legal financing, asset composition, investment income, and lifecycle pension payments are included.

14 Limitations

[Unresolved evidence] The manuscript remains partial. Missing inputs include payroll withholding and contribution revenue splits, State-transfer classifications, public-worker RGSS flows, RGSS and FEFSS annual balances, bank-level asset and liability schedules, and full bank pension lifecycle cash flows. The falsification report requires these inputs before stronger causal or lifecycle-cost language can be used.

15 Conclusion

[Interpretation] The current contribution is an evidence-controlled reconstruction scaffold rather than a final causal finding. It converts several official account values and legal classifications into checked article evidence, while preserving the possibility that completed evidence could weaken, overturn, or materially qualify the initial suspicion about CGA financing and transferred bank pension liabilities.